The banking and currency reserves of the country were thus separated, which diminished their capacity to effect their specific purpose of stabilization in the most economical and efficient manner. In other countries this was done by concentrating such reserves at a central bank. Moreover, government control of currency resulted, as noted before, in a dual control of monetary policy. With divided control, there was also the likelihood of divided opinions and a failure to coordinate.

The evidence taken before the Commission 'brought out the necessity of a unity of policy in the control of currency and credit in a modern financial organization if monetary stability is to be achieved.'[18] It was also essential for the development of banking that the foundations of the credit organization should be truly laid. This was possible only if the commercial banks could, in times of need, turn into cash a maximum of their assets with a minimum of disturbance to general conditions. It was only through the establishment of a central banking system, with the facilities of rediscounting that it afforded, that this end object could be achieved.[19]

The Commission cited the example of the United States where had it not been for the timely introduction of the Federal Reserve System of 1913, it was doubtful whether America, in spite of her enormous economic advantages, could have weathered the stress of the First World War without grievous harm to her financial structure. It went on to state the beneficial effects of central banks in other countries as well, which differed in detail but worked on the same fundamental principles. In times of stress they intervened vigorously in the country's business by extending credit facilities liberally. They were primarily concerned with upholding the credit of the country and guiding its financial policy.

In view of these considerations, the Commission was of the opinion that India, profiting by the experience of other nations, should perfect her currency and credit organization by setting up a central bank with a sound charter. The Commission examined the question whether central banking functions should be entrusted to the already existing organization of the Imperial Bank or to a wholly new institution and concluded that the proper course was to establish a new bank. The main reason for this was that the Commission believed that the 'country would then lose the benefit of the elaborate and widespread organization which has been set up, throughout the length and breadth of India, to make available to the community the